

complaint

Mr J complains on behalf of himself and Miss J that AXA Insurance UK Plc has unfairly declined their claim for water damage to their home under their joint home insurance policy.

background

Mr J said he's been the only occupant of his home since it was refurbished in August 2017. He claimed to AXA when he discovered damage caused by an escape of water in February 2018. He said AXA relied on a term of the policy that excludes claims where a property is unoccupied and unfurnished. Mr J said his home was furnished and he'd sent AXA evidence of living there. He said he works shifts and has caring responsibilities at another location.

AXA appointed a loss adjuster who visited Mr J's property in March 2018 and then referred his concerns to investigators. Mr J said the investigator demanded his bills for proof of his living at the address, but Mr J said the address hadn't been updated at the time. He said from this and his water usage, AXA wrongly concluded he wasn't living at the property. Mr J said he uses the shower facilities at his workplace and has very low use of water at home.

AXA said its loss adjusters and investigators felt that the property wasn't being lived in at the time of the incident. AXA said Mr J was listed at another address. It said his council tax bill stated the property is unfurnished and unoccupied, and the usage on his water bill from 9 July 2017 to 5 January 2018 cost £3.27. It said other utility bills were estimates.

AXA said it checked with Mr J's council who confirmed they still have the property listed as unoccupied, unfurnished and empty, and this has been the case since Mr J bought it. AXA said had it been made aware Mr J's property was unoccupied it wouldn't have offered him cover. It said he had knowingly submitted false information that it was occupied and was in breach of the fraud clause within the policy.

AXA said the policy carries an exclusion clause for claims where the property is unoccupied:

'Unoccupied

Not permanently lived in by You or by a person authorised by You for more than 60 consecutive days.'

Mr J said AXA accused him of submitting false information and said his claim was fraudulent and his property was unoccupied. He said this is irrational as he wouldn't pay for insurance on an unoccupied property or have registered to vote there. He said he had a fully furnished kitchen, bedroom and other rooms. Mr J complained to AXA about its decline of his claim.

Mr J provided further documents about his property to AXA. AXA said these, including his driving licence, were dated after the escape of water. It said the council tax bill is backdated and the council couldn't confirm when he moved into the property. It said the utility bills show very little usage which confirmed the property was unoccupied other than for minimal visits.

Mr J said he was registered to vote at his property. He said AXA hadn't properly checked his utility bills and it was an injustice to accuse him of fraud. Mr J said he wasn't provided with policy details from AXA when he took out the policy.

AXA said it was prepared to retract the fraud allegation against Mr J but would continue to repudiate his claim as it considered his property to have been unoccupied.

Mr J remained dissatisfied and brought his complaint to our service.

The investigator didn't recommend that the complaint be upheld. He said Mr J had confirmed he wasn't staying at the property when the incident occurred due to bad weather. He said Mr J's relative attended the meeting with the loss adjuster as Mr J felt more comfortable with this. The investigator said the policy defines unoccupancy and having considered all the evidence he felt that AXA had made a fair decision to decline the claim.

Mr J disagreed with the investigator saying his home hadn't been unoccupied for more than four consecutive days and his use of gas and electricity was above the estimate. Mr J said he had forgotten to update the address for his driving licence and insurance. But he said he had paid full council tax from August 2017 and the council had incorrectly informed AXA that his property was unoccupied and unfurnished. Mr J said he'd £15,000 on the repairs due to the water damage. Mr J requested an ombudsman review his complaint.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

AXA has relied on the occupancy clause within Mr J's policy to repudiate his claim. It said there was no proof that he had been residing at the insured address when the incident occurred. It's common for insurers to exclude claims for unoccupied properties as the risk to the property increases considerably when no one is there. Although Mr J said he wasn't at home when the incident occurred, he said he does live there normally.

When an insurer wants to rely on an exclusion clause it has to show that the clause applies in the circumstances of the claim and has been applied fairly. AXA said its loss adjuster found a lack of furniture and food in the property and its investigator requested utility bills, council tax and electoral roll information. AXA said this clearly demonstrated a lack of occupation of the property by Mr J. AXA said it wouldn't have offered him cover had it known he wouldn't be living at the property.

AXA has said it no longer considers that Mr J was acting fraudulently. I've looked at the information provided by the parties to see if AXA's decision about Mr J's claim was fair. Mr J's utility bills show very low usage, which is well below the estimates from these companies. His water bill for six months water usage is for £3.27 and is exceptionally low even if showers are taken at work. Mr J's driving licence and car insurance details were only updated to the insured address after the incident.

So far as Mr J's council tax is concerned payments hadn't been taken from his account since he moved to the insured address in August 2017. Mr J has since contacted his local council to change the status of his property, but must have been aware he wasn't being held liable for council tax at the time of the incident.

When Mr J challenged AXA's decision about his claim, he sought legal advice near to where he used to live and where his caring responsibilities are, not near the insured address. Neither is he registered at doctors near to his insured address and he has no TV, or broadband contracts there.

Based on the information I've seen, I don't think it was unreasonable for AXA to have declined Mr J's claim by relying on the occupancy clause within his insurance policy. AXA has said it is no longer recording Mr J's claim as fraudulent and so there shouldn't be any reference to this within his insurance records.

my final decision

For the reasons I have given above it is my final decision that the complaint is not upheld.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr J and Miss J to accept or reject my decision before 5 June 2020.

Andrew Fraser
ombudsman